The Second Robbery: How FTX Victims Got Looted Again— This Time Legally

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We all know the names SBF, Ruja Ignatova, Alexander Mashinsky, and Do Kwon...but do you know about John Ray and his cronies?

John Ray may not be known as the most unethical person in the space, but he will walk away with perhaps the most rewards and the fewest consequences.

John Ray got himself appointed to lead FTX post-bankruptcy. After FTX folded, Ray was appointed CEO within hours in a backroom deal (more on that in a moment). He was a well-connected legal operator who was known for making millions as the lead of the Enron bankruptcy.

The way these bankruptcy cases work is that lawyers with insider connections get appointed to hold and control the assets. Once they seize control, they can pay themselves massive fees from whatever assets the bankrupt company has left. The obvious unaligned incentive is that they can rack up whatever legal fees or trustee fees they want with little to no oversight or pushback.

In the normal legal world, law firms are incentivized by clients to keep fees reasonable. In bankruptcy cases, the incentive is to bill as many hours as possible because the "client" is themselves, and the victims have almost no voice. The lawyers essentially hold all the cards and all the power...while also controlling the purse strings of the bankrupt entities. Some call it "attorney in possession". In the age of crypto, these already skewed and poorly aligned practices have moved into the realm of ethical insanity.

After gaining control, Ray promptly raided the FTX estate and took a salary of between $21-26 a MINUTE for hundreds of hours ($1300-1575 an hour) ongoing. He often billed for 57 or more hours a week. Ray's law firm connections were also handsomely rewarded with "tens of millions" more as they feasted off of what was left of the FTX victims' funds. As is common practice, the estate froze payouts of crypto (including holdings like Solana) to victims based on USD at the time of the bankruptcy, and the estate essentially pocketed the gains.

In reward for such a "model job" on this performance, Ray also paid himself a bonus of "$40 million" from what was left of the victim's funds.
Forty. Million. Dollars.
Read that again.
From the victims. They got robbed by SBF, then were hit again by Ray, his cronies, and the system.

How did Ray get appointed? Sullivan & Cromwell had worked for SBF and done legal work for FTX, including compliance work (I'm not joking, the firm worked on compliance for FTX), and then recommended the appointment of Ray. Amazingly, after getting control of what was left of victim funds, Ray went back and hired Sullivan to serve as lead bankruptcy counsel - he then paid them over $150,000,000 from FTX client coffers.

Legal professors Jonathan Lipson and David Skeel wrote a paper in the Stanford Law Review called FTX'd: Conflicting Public and Private Interests in Chapter 11 on this major ethical conflict. The paper probably didn't hurt many feelings, as we can imagine the lawyers dining on caviar and sipping champagne at their yachts and Hamptons mansions paid for by what was left of victim funds.

The craziest thing about all this is that this is all perfectly legal. Ray never needs to look over his shoulder or worry about legal consequences. He laughs all the way to the bank at the expense of the victims - he has generational wealth and is one of the highest-paid people in crypto history without ever having had to take a risk, build a product, or even market his services. His skill set is knowing how to work the system as an insider. His ongoing lottery-sized payday was ensured within hours of the FTX collapse. Once they gain control, bankruptcy trust lawyers will bleed assets and line their pockets with as much as they possibly can, with very few limits. Payouts to victims are a distant afterthought- a procedural technicality and hassle, and are almost always only a tiny fraction of what the estate had left.

So surely big law firms must fight these unethical actions, right? Not so fast. For many major firms, the goal is to become trustees or counsel on similar matters themselves because the rewards are so high. A law firm that calls out this behavior will find it difficult to be in the inner circle or be appointed to these lucrative trustee roles and committees. Even the most aggressive firms will often play the game within a narrow band that accepts this system as legitimate. Victims are fragmented and often underfunded - especially among most retail investors like FTX. Who's going to choose to fight for a few small-time victims when they can feast on a massive and nearly unaccountable cash cow? How can victims fight when the lawyers are incentivized and paid by the hour? Even if they lose cases, they win by earning more fees. In the extremely rare cases, a victim challenges this behavior and wins, the firms still rack up legal fees. The system resists rocking the boat. Behavior like John Ray's is considered acceptable and even celebrated. They call FTX the "model" bankruptcy.

The US is one of the few systems globally that works this way. Despite clear moral and ethical conflicts and deep harm to victims based on bad incentives, most people are unaware of how this racket works. Public awareness and advocacy alone are not a solution. As long as the process works this way, people like John Ray can sit atop multi deca million-dollar fortunes and laugh at criticism or tweets from victims while facing no real consequences. The lawyers, like so many in crypto, just can't seem to resist the urge to put personal profits ahead of ethics and responsibility. A system originally designed to protect creditors has transformed into a wealth-generation vehicle for opportunists.

The only way it changes is with top-level changes to our legal system. Most obvious would be to give victims/creditors far more power in the process and easy ability to fire law firms, trustees, and attorneys who abuse the system or enrich themselves. Surely the victims and creditors could find someone ethical to represent their interests at a fraction of the costs. Along with this, the clear conflict of having law firms be able to pay themselves while also controlling the estate directly or through close cronies should be removed. Law firms should be barred from representing both pre and post-bankruptcy interests and fees should be capped. The victims should be given control. Of all the scams and grifts in the world, this is one of the most blatant...and it's legal in the US.

Congress should act decisively to remove these unethical practices from our justice system. (But let's not forget that attorneys and law firms are the largest donation category to politicians, and many politicians are also lawyers.) Good lawyers should stand against these immoral actions. Judges should take a hard line on what has become an embarrassment to the US legal system.

In the meantime, we should all work to increase awareness, call out the unethical behavior for what it is, and to not send legal business to law firms that engage in such practices. If you are a lawyer, treat your fellow lawyers engaging in this behavior as the unethical opportunists that they are. Their actions stain your profession and our legal system. If you are a CEO or General Counsel, refuse to send legal business to the large firms that bleed victims in these bankruptcy cases. Do not give a pass to unethical behavior. Work to change the laws to prevent this.

If John Ray is the model, the model is broken.